

Is Retirement an Age or an Amount of Money?

“Retirement is when you do what you want, not what you must” Unknown

Is this your dream of retirement? By most common definitions, you retire when you stop being part of the workforce, either by choice or by having reached the age limit prescribed by the government.

However, retirement is easier to describe than define — in that, sometimes it is a state of mind. Retirement is when we no longer have to (or can) work for monetary rewards. Retirement is normally seen as an age — and your retirement age is a function of your profession. Thus, gymnasts retire at 20, cricketers at 34, actresses at 32, actors at 75, salesmen at 50, other employees at 58 or 60 years, and doctors and lawyers when their bodies do not listen to their minds. Of course, one class beats them all — politicians retire at 90!



Not all retirement is voluntary or mandatory: sometimes retirement is forced on you, due to unforeseen circumstances. For example, a surgeon or a dentist with failing eyesight or trembling hands may have to seek semi - retirement.

Will we ever retire?

Many people do not look forward to retirement because they do not know what to do post - retirement. Many people want to work until they drop dead. However, in a country where the workforce sees a constant influx of young aspirants, this choice may not be available.

If we are very busy or tired, we say wistfully, "I wish I were retired" –but, we rarely prepare ourselves for retirement. The irony is that these same people do not even take a vacation – a form of 'temporary' retirement.

Some people look forward to retirement, or so they would like to believe. Given the pressures of a daily working life, such a feeling can be exaggerated, when all you need is a 3-week break. One option that many people like to consider and hope for is semi-retirement.

Semi-retirement is seeking a job that allows you to slow down while continuing to be productive, in monetary terms. A very good example is like Sachin Tendulkar choosing not to play in T - 20 matches, then deciding to give up one - day cricket (say in 2011) so that his body is in good shape to play Test cricket until 2014.

A similar analogy in a corporate environment would be a Sales Head deciding to give up a sales job at 52 and taking up training, mentoring and coaching for the sales force. This profile could enable him to work until 65 years. At that age, he may be able to do some consultancy and hand



holding for the sales force. However, if he had continued to be in active sales he may have burnt out by maybe 55 years.

The advantage of slowing down is mutual — the organization gets to keep the employee for a longer period, the positions are non-competitive, the employee is not looking for a new job every day, and all the experience is effectively used to everyone's advantage.

When can we retire?

Many of us fancy retirement — and it is in our hands to make it happen exactly the way we want it to happen. When we can retire is a function of how much money we need for retirement — and how much of this is already available. Retirement is voluntary for businessmen, and even for people in service, a post-retirement job is a possibility. However, for many people retirement is a luxury. For many of us, longevity will surely be an issue—the longest portion of our life may be spent in retirement. I know of employees who retired at 55 and then lived until the age of 95! Assuming that you started work at 24, retired at 55 and lived until 87, it would mean that for 24 years of your life you were a student (dependant on parent's earnings), 31 years in service (your earnings supported you) and 32 years in retirement (you need to create your own pay cheque). The challenge is to make the money earned (post taxes) pay off the educational costs, meet all your day-to-day needs, wants and luxuries — and look after your needs for 32 years after you stop earning. That will be a great challenge — for both you and your financial advisor.

Ratan Tata and Azim Premji are both more than 70 years of age — and they are in employment by choice. If by necessity, you have to keep a job at age 70, then it means you have not invested smartly enough to retire.



So when can we retire is a simple question to answer. When you have enough money to retire, you can. It can happen at 35, 40, 55 or 85 — depending on how well you have managed your money. This brings us to one very important wealth management lesson — the amount of money you have at the end of your working life is a function of how well you have managed your money.

And how do you manage your money to your advantage? That is a question that most of us have to answer for ourselves. Some of us are investment savvy and would like to manage our money ourselves. Many people I know would like to outsource money management, but monitor it on a regular basis, based on reports from fund managers. There are yet others who say, “I have given it to a financial planner, and I hope he is doing a good job.” Whichever category of investors you belong to, you need to start and build a retirement corpus. Immaterial at what age you start, you need to invest for your money to grow, for your ‘retirement nest egg’ to expand. If you are lucky enough to start young, invest aggressively in a high amount of equity, and start re-balancing when you are 50. If you are older, invest more conservatively — simply because there is not too much time available for correction.

The most important aspect in retirement is how well you manage (d) your money while in the ‘saving and investing’ (called accumulation stage) and how well you manage your money while in retirement (called the withdrawal stage). It is very important that for long periods of time, most of your money has to be in the growth mode — considering that you want your money to outlive you.

Retirement planning is now a huge challenge because a large portion of the population does not have an indexed pension (except Central Government employees), and interest rates are not very high in real terms. A few generations ago, retirement planning was easy — pensions, National Savings Certificates, Kisan Vikas Patra, company fixed deposits — this is



what made up a retiree's portfolio. However, people retiring in the 1980s up until 2000 did include some equity in their portfolio. Most of these people had one major advantage— in major Indian cities, real estate had appreciated considerably. This enabled a more diverse portfolio.

If you are 43 years of age, I can assure you, your house will not appreciate by more than 10% p.a., your equity returns may not be at its peak for another few years, inflation may be high, you may be addicted to branded goods, and you may have to prepare for a long life. Your grandparents or parents may not have had this problem.

Now, take out your retirement calculator, punch in the numbers, and surprise, you find you cannot retire at the age of 55 years. What do you do now?

Not all is lost. Make a realistic calculation and see if you can:

- Postpone retirement
- Live frugally
- Save aggressively
- Give up assets that you thought you would give up at retirement (for example, the second car)

How to retire successfully?

Visualization helps!

If you have crossed the age of 33-34, or are somewhere in the middle or toward the end of your working career, at some point, you've clearly imagined what your retirement will look like. Is it a nice sunny beach and golf in the mind or is it worry about medical bills that comes to your mind? That picture in your mind will certainly change over the years, as you



near closer and closer to the time when you're ready to hang your boots.
But what does it really take to retire?

Have you put a plan in motion for yourself, to make sure your arrival into retirement is pleasant?

Ask yourself some very simple questions:

Can I afford to retire?

At some stage you will face this question sooner or later: How much wealth must I accumulate on my own, to say I am financially free? The answer actually depends on what lifestyle you desire for yourself in retirement. This answer will lead you to the next steps in your quest for a comfortable retirement. Most people I know have adjusted their expenses according to the surplus available with them – rather than the other way around.

Step 1: Estimate Your Expenses

Take a few minutes to estimate your current annual household expenses (in today's rupees). Adjust these expenses to allow for the changes that will occur when you retire: presumably no more mortgage payments, perhaps one car instead of two.

Now there may be many things that you will not do but will take up: you may reduce your commuting expense, but take up golf, you may eat out less often but vacation more. These assumptions are individual and only you can correctly estimate your retirement expenses.

Your estimation may surprise you and you may find that you can get by quite nicely on less than 70% of your current income



Step 2: Add Up Your Investments

After you've projected your retirement budget, figure out the value of your investment portfolio. The amount of wealth you've already locked away will make a tremendous difference in determining how much you need to save between now and retirement. If you are planning to retire to a smaller house (or in a less expensive location) there could be a surplus generated by conducting that transaction.

Many people may not know their net worth unless they have worked with a financial planner. You may be astonished at how well your investments have done! Check the numbers about once a year. You may be in better shape than you think!

The easy part is over!

How much you will need for retirement depends on an additional 4 important factors:

1. How long you and your spouse will live
2. How well your investment portfolio performs
3. Inflation
4. How well you have anticipated your expenses and managed your drawings from your corpus

Unfortunately, all these numbers are just guesses. The more conservatively you estimate the better. However, balance is imperative. The key is living a fulfilling life, not tightening your belt for the better part of your life and not being able to enjoy it later on. No amount of financial modeling or juggling can prepare you for a 62% fall in equity markets, or for inflation at 14% p.a., or if you live to be 105!



Use stable numbers that are indicative of the times we live in. The inflation in India in the 1970s used to be in the mid-teens. In 1990s, the equity markets fell 47%, yet have grown immensely during 2002 to 2007!

Inflation and yields

I am assuming a 4% real return, composed of a 10% yield on your portfolio reduced by 6% inflation. This is possible in a retirement account, mutual fund or other tax-sheltered vehicle. The result won't change much if inflation turns out to be 5% or 3%, as long as your portfolio continues to net 4% more.

Is this rate too conservative? Why not say 7% or 8%?

A person with 15 years to go can make such an assumption. By investing a serious portion of your wealth in equity shares, you may be able to boost your overall portfolio return to 6%, or even higher (before inflation). Net of inflation, you may get a real return of 6-7% with growth shares or growth-type mutual funds. However, for it to affect your total return considerably, the amount invested in equities should be significant!

Indeed, I recommend such an approach for younger people. But, if you've got 10 years or less to retirement, you should plan conservatively.

Going forward we will see how to invest, where to invest after you retire, how to correct for mistakes, and much more. This book is a largely do-it-yourself kind of book, where I give you pointers and methods to maximize your investments. But to make this book work for you, you must use the methods and concepts described in the book to save for a rainy day, not read during rainy days!

In the Wonderland of Investments by Mr. Shanbag is an excellent source of the latest information on the saving schemes available in India.